ECONOMICS TEST

UNIT 2

ELASTICITIES

Max Marks: 40 M

Time Limit: 90 mins

Q1

Explain using diagrams to illustrate PED and the effect of price changes on Total Revenue.

(6M)

Q2

Explain the factors affecting price elasticity of supply.

(6M)

Q3

Explain the concept of price ceiling and its impact on various stakeholders.

(10M)

Q4

Explain the concept of price flooring and its impact on various stakeholders.

(10M)

Q5

Economic Data for Canada

2018

2022

Real GNI per capita

43,500

50,200

Population (in millions)

37.1

38.6

Between 2018 and 2022, Canada’s demand for foreign holidays abroad increased by 24%.

a. Using information from the table, calculate the **income elasticity of demand (YED)** for foreign holidays in Canada considering the change in income between 2018 and 2022.

(3M)

Q6

In 2019, the average price of smartphones in Spain was **€800**. In 2022, the average price increased to **€900**. The number of smartphones sold in 2019 was **5.5 million**, compared to **5.0 million** in 2022.

a. Calculate the **price elasticity of demand (PED)** for smartphones. **(3M)**

b. State the **significance of the PED value** from part (a). **(1M)**

c. Outline **one determinant of PED** for smartphones. **(1M)**